

WARRANTY ATLAS · Tennessee (TN)

Law last amended: 2021 (eff. 2021-07-01) · Next scheduled change: none found · Last verified: 2026-09-25 · Built 2026-09-30

Cites: Tenn. Code Ann. § 55-17-121; Tenn. Code Ann. § 55-17-114(c)(18) (license ground); Tenn. Code Ann. § 55-17-117 (civil penalty, injunction)

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	Required	Statute silent on time / not established	§ 55-17-121(b)
Mfr-backed service contract	Not addressed	-	§ 55-17-121(d)(1)
CPO warranty	Not addressed	-	§ 55-17-121(d)(2)(A)
Independent service contract	Not addressed	-	§ 55-17-121(c)

Hourly rate: The warranty hourly rate may not be less than 'the dealer's retail labor rate for similar repairs' unless the manufacturer shows the Motor Vehicle Commission that the rate is 'improper in light of all economic circumstances'. The dealer may not charge more than its posted retail labor rate. Dealers file sworn labor-rate statements with the commission. The 100-RO/90-day submission in (d)(2)(C) covers parts markup only.

Audit fields

Field	Rule	Pinpoint
Claim decision	Silent; late claim deemed approved: no rule in statute.	
Payment	Silent. Dealer filing deadline: Silent.	
Chargebacks	Silent; fraud: Silent.	
Rate resubmission	Silent. Sample: No statutory labor-rate sample. Excluded: none listed.	§ 55-17-121(b); see (a), (c), (d)(2)(C)
Mfr response	Silent; no response = approved: no rule in statute. Challenge: Manufacturer must show the Commission the dealer's retail labor rate is 'improper in light of all economic circumstances'. Forum: Tennessee Motor Vehicle Commission.	§ 55-17-121(b)
Penalties	None express for warranty pay in Part 1; parts-markup denial may be appealed to the Commission (§ 55-17-121(d)(2)(C)(ii)). Civil penalty \$100-\$5,000 per day or per act of violation (§ 55-17-117(a)); Commission may deny/suspend/revoke a manufacturer's license for unfair discrimination among franchisees in warranty reimbursement (§ 55-17...	Tenn. Code Ann. §§ 55-17-114(c)(18), 55-17-117
Audit procedures	Audit climate score 0/100 (Low restrictiveness; chargeback limits 0/75 + process and oversight 0/25). Advance notice: no; selection basis disclosed: no; frequency cap: none; written reasons: no; response period: none; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: no; rate validation: broader or no procedure.	

Statute quotes

Rate (§ 55-17-121(b); see (a), (c), (d)(2)(C)): "In no event shall a manufacturer or distributor pay to its dealers a labor rate per hour for warranty repairs or servicing less than the dealer's retail labor rate for similar repairs"

Factory time (§ 55-17-121(b)): "In no event shall a manufacturer or distributor pay to its dealers a labor rate per hour for warranty repairs or servicing less than the dealer's retail labor rate for similar repairs"

Notes

Official code is Lexis-only; text read from Justia 2025 mirror (history line confirms no amendment after 2021). No statutory claim-processing deadlines, deemed approval, audit window or chargeback limits in Title 55, ch. 17, part 1 (checked §§ 55-17-114, -117, -121 and part TOC); § 55-17-114(c)(12)'s 'reasonable time' payment rule covers prior-model-year inventory payments, not warranty. TN MVC rules (Ch. 0960-01) not checked (site returned 403). No time-allowance standard.

Source: mirror · <https://law.justia.com/codes/tennessee/2025/title-55/chapter-17/part-1/section-55-17-121/> (mirror; official T.C.A. is L... · Confidence: medium. Public-source research summary for audit planning, not legal advice. No SOA-approved rates. Confirm against the cited statute; escalate disputes to Legal.